

Analyzing the Financial Management Practices and Resilience of Online Freelancers in Laguna amid Digital Platform Taxation

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ABSTRACT

This study investigates the financial management practices and financial resilience of online freelancers in Laguna within the context of the newly implemented Digital Platform Taxation (DPT), which imposes a 12% VAT on digital services. Guided by Carroll's Buffer Stock Theory, the study examines how Buffer Stock Savings (BSS), Perceived Income Volatility (PIV), and Liquid Asset Accessibility (LAA) influence freelancers' capacity to withstand financial shocks. A mixed-methods exploratory pilot approach was employed. Quantitatively, a structured survey was administered to a purposive-stratified sample of 30 online freelancers. Qualitatively, semi-structured interviews were conducted with a criterion-purposive subsample of 10 participants to contextualize the statistical data, enriching and validating the survey findings. Descriptive statistics, Pearson's Correlation, and Multiple Linear Regression were used to analyze the quantitative data, alongside thematic coding for qualitative responses. Results indicate moderate relationships among BSS, PIV, LAA, and overall financial resilience, supporting the relevance of Buffer Stock Theory in the digital gig economy. Qualitative insights further revealed freelancers' adaptive financial behaviors and the challenges posed by the 12% VAT pressure. The study's findings suggest that while freelancers exhibit adaptive strategies, their resilience is primarily short-term. The study supports the development of targeted financial literacy program aimed at strengthening the financial stability and planning capabilities of online freelancers in Laguna, with implications for policymakers and digital platforms.

Keywords: Online Freelancers; Gig Economy; Financial Management Practices; Financial Resilience; Digital Platform Taxation (DPT); Buffer Stock Theory; Laguna

Recommended Citation

Abila, J.P. & Ulibas, R. (2026). Analyzing the Financial Management Practices and Resilience of Online Freelancers in Laguna amid Digital Platform Taxation. *IJMERI*. 4(2), 118-131.

INTRODUCTION

The expansion of the digital economy has significantly reshaped employment structures worldwide, particularly through the rise of online freelancing. Digital platforms such as Upwork, OnlineJobs.ph, Fiverr, and similar marketplaces have enabled individuals to offer services beyond geographic boundaries, creating flexible income opportunities. However, while freelancing offers autonomy and accessibility, it also exposes workers to income instability, lack of formal employment protection, and limited access to traditional financial safety nets. These conditions make financial management and resilience critical concerns for freelancers, especially in developing economies such as the Philippines where social protection systems are often employment-based.

Starting June 01, 2025, the Philippine government introduced Digital Platform Taxation (DPT) policies, including the imposition of value-added tax (VAT) on digital services and subscriptions used by freelancers. While these regulations aim to broaden the tax base and ensure fiscal sustainability, they have introduced additional financial pressure on freelancers whose earnings are already irregular. Platform fees, subscription costs, and compliance requirements further reduce net income, intensifying the need for effective financial management strategies. Despite the growing relevance of this issue, empirical research on how digital taxation affects freelancers' financial resilience remains limited, particularly at the local or provincial level.

Existing research on financial resilience has largely focused on salaried workers, households, or micro-entrepreneurs, emphasizing savings behavior, access to liquid assets, and income stability as key determinants of resilience. Buffer Stock Theory suggests that individuals facing income uncertainty tend to accumulate precautionary savings to smooth consumption during adverse shocks. Related studies also highlight perceived income volatility as a psychological and behavioral factor influencing financial decision-making. However, there is a noticeable gap in the literature regarding how these concepts apply to online freelancers operating under digital platform taxation regimes, especially within the Philippine context.

This study was conducted to address this gap by examining the financial management practices and financial resilience of online freelancers in Laguna amid the implementation of digital platform taxation. Specifically, it sought to determine the levels of buffer stock savings, perceived income volatility, and liquid asset accessibility among freelancers, and to analyze how these factors relate to financial resilience. The study was guided by the following research questions: (1) What are the actual financial behaviors of online freelancers in Laguna amid digital platform taxation, based on: Savings behavior and frequency, Instances of financial strain, Responses to hypothetical financial shock scenarios, and Voluntary submission of financial records? (2) What are the financial management practices of online freelancers in Laguna amid digital platform taxation in terms of the key variables of the Buffer Stock Savings Theory: Buffer Stock Savings, Perceived Income Volatility, and Liquid Asset Accessibility? (3) What is the level of financial resilience among online freelancers in Laguna amid digital platform taxation in terms of the key variables of the Buffer Stock Savings Theory: Buffer Stock Savings, Perceived Income Volatility, and Liquid Asset Accessibility? (4) What financial literacy program can be proposed to enhance the financial management practices and financial resilience of online freelancers in Laguna within the context of digital platform taxation?

By addressing these questions, the study aims to contribute localized empirical evidence on freelance financial management practices and resilience, and to provide a foundation for practical financial literacy interventions tailored to the realities of digitally taxed freelance work.

This study is limited to online freelancers in Laguna, which may restrict the generalizability of the findings to other regions or countries. The sample included only registered online freelancers who uses prominent online platforms and excluded other segments of the gig economy and traditional employment. As a cross-sectional study, it identified relationships between variables at one point in time and could not establish causal effects or long-term



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changes. In addition, varying levels of awareness of digital platform taxation among respondents may have influenced reported experiences; thus, findings related to taxation reflect participants' perceptions rather than an objective assessment of tax regulations.

1.1 Conceptual Framework

The conceptual framework, grounded in the Buffer Stock Theory of Saving, explains how digital platform taxation influences the financial behaviors and management practices of online freelancers in Laguna, which collectively determine financial resilience. Guided by this framework, the study examines financial behaviors and resilience to develop a financial literacy program that supports better budgeting, saving strategies, and preparedness for digital taxation, thereby linking theory to policy impact and providing a data-driven approach to support freelancers in the digital economy.

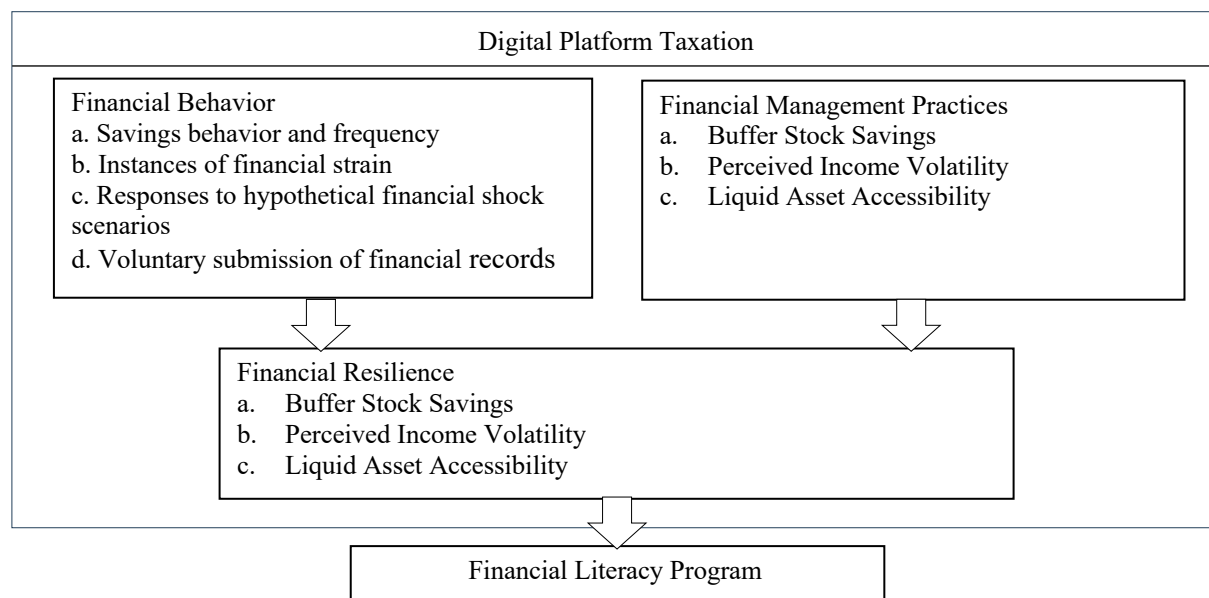


Figure 1. Conceptual Framework

While Buffer Stock Savings (BSS), Perceived Income Volatility (PIV), and Liquid Asset Accessibility (LAA) appear in both financial management practices and financial resilience constructs, they are operationalized differently in this study. As financial management practices, these variables capture behavioral tendencies and financial strategies. As components of financial resilience, they reflect the perceived capacity to withstand and recover from financial shocks. This distinction allows the study to examine how financial behaviors translate into resilience outcomes. For instance, while a 'practice' may involve the frequency of saving into a buffer, the 'resilience' component measures the perceived adequacy of that buffer to cover essential expenses during a sudden loss of income.

METHODS

This study employed a mixed-methods research design with a quantitative-dominant approach and an embedded qualitative component to examine the financial management practices and financial resilience of online freelancers in Laguna within the context of digital platform taxation. The quantitative strand served as the primary analytical framework, focusing on measurable variables including Buffer Stock Savings, Perceived Income Volatility, Liquid Asset Accessibility, and Financial Resilience. Data were collected using a structured survey questionnaire, and quantitative data were analyzed using descriptive statistics, Pearson's correlation, and multiple linear regression.



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to determine relationships, predictors, and patterns influencing financial resilience. The quantitative design provided rigor, precision, and generalizability for generating evidence-based insights on freelancers' financial behaviors.

The qualitative component was embedded within the quantitative design and was used to provide contextual explanation and narrative depth. Open-ended survey questions and optional documentary evidence such as income logs, receipts, and budgeting records were analyzed using deductive thematic and content analysis based on predefined categories aligned with the study variables. Emerging themes were also identified to capture unexpected insights. Qualitative findings were primarily used to support interpretation of statistical results rather than serve as the main analytical focus, thereby ensuring balanced integration of breadth and depth in the study. The combination of methods enhanced validity and produced relevant insights regarding financial resilience in the digital tax environment.

2.1 Ethical Considerations

Ethical considerations were strictly observed throughout the study to protect participants' rights and welfare. Participants were provided with informed consent information describing the study's objectives, procedures, risks, and benefits. Participation was voluntary, and respondents were allowed to withdraw at any time without penalty. Confidentiality and anonymity were maintained by removing personal identifiers and securing data through password-protected storage accessible only to the researcher. The study followed principles of non-maleficence and beneficence to ensure no harm was caused to participants while contributing to improved financial literacy insights. The research also complied with institutional ethical guidelines from Colegio de San Juan de Letran Calamba Graduate School and relevant national regulations, including the Philippine Data Privacy Act of 2012.

2.2 Research Locale

The research was conducted among online freelancers residing in Laguna, Philippines, a province recognized as a growing hub for digital professionals within the CALABARZON region. The area was selected due to its developing digital infrastructure and active participation in the gig economy. The target population consisted of online freelancers engaged in project-based or task-based online work using platforms such as LinkedIn, Facebook freelancer communities, OnlineJobs.ph, and other local networks. Based on preliminary online platform observations conducted in 2025, the estimated population of online freelancers in Laguna was 1,903 individuals. These estimates were derived from publicly available platform data and community membership counts, recognizing that actual population size may vary due to privacy settings and dynamic online profiles.

Table 1. Estimated Online Freelancer Population in Laguna (Numbers derived from preliminary research)

Source/Platform	Estimated Number of Active Freelancers in Laguna (as of July 2025)
1. LinkedIn (Laguna-based profiles)	1000
2. Facebook (Laguna Freelancer Hub)	562
3. OnlineJobs.ph (Registered users)	329
4. Other Local Freelance Networks	12

Note: The numbers are based on publicly observable data from social platforms and job portals. Exact figures may vary due to limitations in profile visibility, privacy settings, and self-reported location data.

2.3 Population and Sampling Design

The study used purposive-stratified sampling for the quantitative phase due to the absence of a centralized registry of freelancers. Eligibility criteria required participants to have at least one year of freelancing experience and to be actively using at least one digital freelancing platform. A total sample of 30 respondents was targeted, proportionally distributed across platforms using standard proportional allocation formulas to ensure



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representation across major freelance communities. Although the design did not aim for full statistical generalization, it allowed the study to capture diverse perspectives on financial behavior and resilience.

$$n_h = n \times \frac{N_h}{N}$$

Where:

n_h = Number of participants to be drawn from each stratum

n = Total desired sample size (**30**)

N_h = Estimated population in each stratum

N = Total estimated population across all strata (**1,903**)

Given the relatively small sample size, this study is positioned as an exploratory pilot study. Inferential statistics (Pearson's r and Regression) are utilized to identify potential trends and preliminary indicators rather than to establish definitive population-wide parameters.

Table 2 summarized the population estimates and the computed proportional allocation using the formula. The proportionate allocation ensured that each subgroup was fairly represented according to its estimated share of the broader online freelancing population in Laguna.

Table 2. Sample size of Estimated Number of Active Freelancers in Laguna

Source/Platform	Estimated Number of Active Freelancers in Laguna (as of July 2025)	Sample Size (n)
1. LinkedIn (Laguna-based groups/profiles)	1000	16
2. Facebook (Freelancer groups in Laguna)	562	9
3. OnlineJobs.ph (Registered users) & Other Local Freelance Networks	341	5
Total	1903	30

For the qualitative phase, purposive-criterion sampling was applied to select 10 participants from the initial sample who exhibited inconsistent responses between reported financial practices and outcomes. These inconsistencies were defined as discrepancies between financial knowledge or behavior and actual financial results, suggesting complex contextual influences. The qualitative phase allowed deeper exploration of financial decision-making experiences, behavioral contradictions, and adaptive strategies.

2.4 Research Instruments

The primary research instrument was a structured questionnaire composed of several sections measuring financial management practices, financial resilience, and perceptions of digital platform taxation. Financial management constructs were measured using 5-point semantic differential scales. Composite scores were generated to represent key variables for statistical analysis. A separate section measured financial resilience by assessing participants' ability to recover from financial shocks. Perceptions of digital platform taxation were also measured to assess awareness of the taxation system, perceived effects on costs and take-home pay, and the extent to which VAT influenced their budgeting and financial security. Demographic information such as age, gender, freelancing niche, years of experience, and income bracket was also collected to support subgroup analysis.

To ensure instrument validity and reliability, the questionnaire underwent expert validation from a freelance accounting taxation specialist and an academic expert with an MBA and a PhD in Information Technology Management. A pilot test involving 15–30 freelancers was conducted to assess internal consistency using Cronbach's Alpha, with $\alpha \geq 0.70$ considered acceptable.



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2.5 Data Gathering Procedure

Data collection followed ethical and systematic procedures. Ethical clearance was obtained from the Graduate School Research Committee prior to data gathering. Permission was also requested from online community administrators before distributing surveys. The questionnaire was administered through an online platform to efficiently reach geographically dispersed participants. Informed consent was required before respondents could access the survey. Data collection was conducted shortly from late September to October 2025. As this period was after the June 1, 2025 implementation of Digital Platform Taxation, the findings primarily reflect reactive financial behaviors among freelancers.

Collected data underwent cleaning and preparation processes to ensure completeness and accuracy. Responses were screened for missing data, inconsistencies, and outliers before statistical analysis. Data were stored securely in password-protected databases to maintain confidentiality and anonymity. After preparation, data were analyzed using SPSS software. Descriptive statistics such as mean, frequency, and standard deviation were used to describe sample characteristics and variable distributions. Pearson's correlation was used to examine relationships among financial management variables and financial resilience, while multiple linear regression was used to determine predictive relationships.

2.6 Data Analysis Plan

Qualitative data were analyzed using deductive thematic and content analysis based on predetermined categories including BSS, PIV, LAA, and FR. Illustrative quotes and narrative summaries were used to enrich the interpretation of quantitative results. Qualitative prompts were pilot-tested for clarity and alignment with research objectives. The researcher also maintained reflexivity in interpreting responses. Triangulation through open-ended responses and documentary evidence enhanced the credibility of findings. The study also aimed to develop a proposed financial literacy program based on combined qualitative and quantitative results to address identified financial challenges among freelancers.

Interpretation of results followed predefined scoring classifications. Financial management practices and resilience levels were categorized using mean score ranges to determine whether practices were very low, low, moderate, high, or very high. Composite scores were treated as continuous variables for parametric testing when distributional assumptions were satisfied; otherwise, nonparametric measures were applied.

Overall, the integration of quantitative measurement and qualitative contextualization strengthened the reliability, validity, and practical relevance of the study findings.

RESULTS

The results of this study provide a comprehensive understanding of the financial behaviors, management practices, and resilience of online freelancers in Laguna within the context of digital platform taxation. Using a mixed-methods approach, quantitative and qualitative findings were integrated to explain how freelancers manage income uncertainty, taxation pressures, and financial risks associated with gig economy work.

3.1 Actual Financial Behaviors

Findings revealed that online freelancers demonstrated diverse financial behavior patterns classified as cautious savers, adaptive spenders, and vulnerable freelancers. Most participants practiced adaptive financial management through micro-saving strategies, primarily using digital wallets for emergency funds and short-term liquidity needs. Savings behavior was largely conditional on client workload and income flow, reflecting reactive financial planning rather than structured long-term saving systems. Many freelancers prioritized essential household expenses over savings, especially during low-income periods. Income instability and digital platform taxation



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further influenced spending and saving decisions, leading freelancers to adjust budgets dynamically. While these behaviors may appear irregular, they represent adaptive financial strategies rather than poor financial discipline. Overall, qualitative findings indicated that freelancers' financial behavior is shaped by income volatility, taxation costs, and the need for immediate liquidity.

Regarding financial strain, freelancers consistently reported income pressure due to irregular project availability and platform-related deductions such as VAT and service fees. These deductions reduced take-home pay and increased psychological and financial stress. Many respondents compensated by reducing discretionary expenses, increasing work load, or relying on family support during financial shortages. Taxation therefore influenced not only financial capacity but also daily consumption decisions and financial planning behaviors. Documentary evidence validated these experiences, showing reduced net earnings after platform fees and digital subscription costs. These findings emphasize that taxation affects both economic resources and financial decision-making behavior.

Table 3. Documentary Uploads and Corresponding Financial Behavior Codes

Document Type	Related Code	Observed Pattern	Interpretation
1. Post-tax earnings statement	PIV	Demonstrated reduction in net income due to 12% VAT and platform fees	Confirms quantitative trend of perceived income reduction.
2. Google Storage subscription invoice	LAA / Taxation-induced cost pressure	Increase in operational expenses due to VAT	Validates reported rise in recurring digital costs.
3. Adobe subscription receipt (12% VAT applied)	PIV / Taxation-induced cost pressure	Confirms freelancers' claim of increased cost of essential tools	Supports subtheme reduced net income.
4. Spending tracker app invoice	BSS / PIV	Indicates freelancers' use of financial apps despite taxation	Reflects emerging behavior of financial self-monitoring.

Only a small subset of participants submitted documentary evidence, indicating potential non-response bias. In terms of responses to financial shocks, freelancers demonstrated high liquidity orientation but limited long-term financial buffers. Participants relied on e-wallet balances, short-term freelance projects, and social support systems to manage emergencies. Some participants maintained segmented emergency funds for different purposes such as health or lifestyle protection. While these strategies demonstrate financial adaptability, they also reveal structural weaknesses in long-term financial security. Quantitative results supported this finding, showing moderate financial resilience levels among participants.

3.2 Financial Management Practices

Quantitative analysis showed that freelancers generally exhibited good financial management practices. The overall mean score for financial management practices was 3.47 (SD = 1.36), interpreted as high. Among the variables, Digital Platform Taxation awareness recorded the highest mean score (M = 3.81, SD = 1.25), followed by Liquid Asset Accessibility (M = 3.47, SD = 1.39) and Buffer Stock Savings (M = 3.49, SD = 1.44), while Perceived Income Volatility received the lowest score (M = 3.10, SD = 1.38). These results indicate that freelancers



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are increasingly financially aware and capable of managing short-term financial needs but continue to face structural challenges related to income unpredictability.

Table 4. Mean and Standard Deviation of Financial Management Practices

Group	Mean	SD	Interpretation
1. Buffer Stock Savings	3.49	1.44	High
2. Perceived Income Volatility	3.1	1.38	Moderate
3. Liquid Asset Accessibility	3.47	1.39	High
4. Digital Platform Taxation	3.81	1.25	High
Total / Overall Mean	3.47	1.36	High

*Note: 1.00–1.80 = Very Low; 1.81–2.60 = Low; 2.61–3.40 = Moderate;
3.41–4.20 = High; 4.21–5.00 = Very High.*

Buffer Stock Savings obtained a high mean score, indicating that freelancers understand the importance of emergency savings. However, high variability in responses suggests unequal financial preparedness across respondents. Many freelancers practiced reactive savings depending on income availability rather than maintaining fixed saving schedules.

Perceived Income Volatility was rated moderate, indicating that freelancers experience income instability but have developed coping mechanisms such as income diversification and adaptive budgeting.

Liquid Asset Accessibility was rated high, demonstrating strong reliance on digital financial tools that allow quick access to funds during emergencies. However, this strategy supports short-term survival rather than long-term wealth accumulation.

Digital Platform Taxation awareness was also high, indicating that freelancers are increasingly knowledgeable about tax obligations. However, a minority of respondents still lacked knowledge of proper tax procedures and deduction computations. These findings suggest that while freelancers demonstrate financial awareness, there remains a need for structured financial education programs focused on taxation and compliance.

The study distinguishes between taxation awareness (knowledge of the existence and general impact of VAT) and taxation literacy (the ability to compute taxes, identify deductible expenses, and comply with filing requirements). While awareness was generally high, literacy gaps were observed among respondents.

3.3 Level of Financial Resilience

Results showed that freelancers had moderate financial resilience, with an overall mean score of 3.19 (SD = 1.30). Freelancers expressed confidence in recovering from financial setbacks (M = 3.81) but showed limitations in managing long-term financial stocks such as medical emergencies (M = 2.85) or unexpected income loss (M = 2.88). The highest resilience score was observed in self-confidence in financial recovery, while the lowest scores were related to medical expense preparedness and long-term emergency funding capacity. This indicates a gap between psychological confidence and actual financial preparedness.

Table 5. Descriptive Statistics of Financial Resilience Items



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Items	Mean	SD	Interpretation
1. I can maintain my standard of living even if I lose a major client	3.13	1.26	Moderate (Average Preparedness)
2. I can pay essential expenses for 2 months without new income.	3.30	1.41	Moderate (Average Preparedness)
3. I feel well-prepared to recover from unforeseen financial shocks.	2.88	1.30	Moderate (Average Preparedness)
4. I can afford unexpected medical expenses without borrowing.	2.85	1.16	Moderate (Average Preparedness)
5. I feel confident in my ability to financially bounce back from setbacks.	3.81	1.18	High (Generally Prepared)
Financial Resilience Overall	3.19	1.30	Moderate (Average Preparedness)

*Note: 1.00–1.80 = Very Low; 1.81–2.60 = Low; 2.61–3.40 = Moderate;
3.41–4.20 = High; 4.21–5.00 = Very High.*

Correlation analysis showed moderate relationships between financial practices and resilience. Buffer Stock Savings ($r = 0.598$, $p < 0.01$) and Liquid Asset Accessibility ($r = 0.517$, $p < 0.01$) showed moderate positive correlations with financial resilience, indicating that savings and liquidity strengthen financial coping capacity. In contrast, Perceived Income Volatility showed a negative correlation with resilience ($r = -0.478$, $p < 0.01$), suggesting that income instability weakens financial security. Regression analysis further showed that 73% of variance in financial resilience ($R^2 = 0.73$, $p < 0.01$) could be explained by financial practices and demographic factors.

Among predictors, Liquid Asset Accessibility was the only statistically significant positive predictor of financial resilience ($\beta = 0.58$, $p = 0.04$). This indicates that immediate access to funds is more important for resilience among freelancers than savings accumulation alone. Gender and career experience also influenced resilience outcomes, with male freelancers scoring 1.13 points higher in resilience ($p = 0.03$), while freelancers with 5–7 years of experience showed lower resilience (-1.62 , $p = 0.01$). These results suggest that financial resilience is shaped by both behavioral strategies and socio-economic conditions.

Gender and career experience also influenced resilience outcomes, with male freelancers scoring 1.13 points higher in resilience ($p = 0.03$), while freelancers with 5–7 years of experience showed lower resilience (-1.62 , $p = 0.01$). While gender differences were observed, the study does not provide sufficient evidence to explain this pattern; therefore, further research is needed to explore contextual factors. These results suggest that financial resilience is shaped by both behavioral strategies and socio-economic conditions.

The higher resilience scores among male freelancers may be influenced by differences in freelance niches, income levels, or household financial responsibilities. For instance, male freelancers may be more represented in higher-paying technical roles, while differences in financial obligations may also shape saving and risk behaviors. However, these interpretations require further qualitative validation.



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Overall, findings suggest that freelancers' financial resilience depends on their ability to maintain liquidity, manage income volatility, and adopt adaptive financial behaviors under digital taxation pressures. However, freelancers remain vulnerable to prolonged financial shocks due to limited long-term financial buffers.

3.4 Proposed Financial Literacy Program for Online Freelancers in Laguna amid Digital Platform Taxation

A Financial Literacy Program was proposed to address identified financial gaps. The program was designed using empirical findings from RQ1 to RQ3 and focused on six key components: Strengthening Buffer Stock Savings under Tax Constraints, Managing Income Volatility in the Digital Economy, Enhancing Liquidity and Emergency Fund Access, Improving Tax Literacy and Recordkeeping, Building Financial Resilience, Adaptive Confidence, and Awareness of Insurable Risk, and Promoting Equitable and Experience-Based Financial Education. Each program component was aligned with specific behavioral patterns observed among freelancers.

The program emphasized post-tax budgeting, adaptive income planning, and financial documentation skills. It also promoted the use of digital financial tools for monitoring cash flow and emergency reserves. Tax literacy training was included to help freelancers understand VAT, income tax filing, and deductible expenses. Resilience-building components focused on psychological confidence, risk awareness, and insurance literacy. The program also promoted inclusive financial education through mentoring and peer-based learning approaches.

Table 6. Proposed Financial Literacy Program for Online Freelancers amid Digital Platform Taxation

Program Component	Objective	Key Learning Areas	Recommended Learning Interventions	Expected Academic and Practical Outcomes
1. Strengthening Buffer Stock Savings under Tax Constraints	To promote consistent saving habits despite tax deductions and variable income.	- Post-tax budgeting and savings allocation - Differentiating gross vs. net income - Setting realistic emergency fund goals	- Training on budgeting tools that factor in tax obligations - Sample case simulations using freelance earnings under DPT	Enhanced awareness of post-tax savings strategies and improved buffer stock stability.
2. Managing Income Volatility in the Digital Economy	To help freelancers plan for irregular income and platform fee deductions.	- Adaptive budgeting - Project-based cash flow planning - Diversifying freelance income	- Workshops on income mapping and expense forecasting - Development of visual budgeting trackers	Reduced financial strain during low-income periods and improved budgeting discipline.
3. Enhancing Liquidity and Emergency Fund Access	To ensure freelancers maintain accessible funds amid variable and taxed income.	- Liquidity management under taxation - Use of e-wallets and short-term reserves - Balancing	- Seminars on fintech tools for liquidity monitoring - Illustrative exercises on managing cash flow after taxes	Greater ability to mobilize funds quickly for emergencies or tax payments.



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		liquidity and investment		
4. Improving Tax Literacy and Recordkeeping	To improve freelancers' understanding of digital taxation and encourage voluntary compliance.	- Overview of VAT, percentage tax, and freelance tax filing - Proper documentation of income and expenses - Tax-deductible costs and compliance timelines	- Infographics, webinars, and interactive modules on DPT - Collaboration with local tax bureaus or digital platforms	Improved voluntary compliance and understanding of how taxation affects net income and pricing decisions.
5. Building Financial Resilience, Adaptive Confidence, and Awareness of Insurable Risk	To strengthen financial adaptability, recovery from income disruptions or tax-related expenses, and risk mitigation	- Financial shock response strategies - Cognitive-behavioral finance principles - Mindset of resilience and long-term goal setting - Awareness of insurable risks (health, income protection, equipment, liability)	- Resilience-building sessions integrated with financial counseling - Sharing of real freelancer success stories - Case studies and exercises on integrating insurance into budgets	Enhanced psychological and financial resilience; improved preparedness for unexpected expenses; reduced reliance on emergency borrowing or depletion of savings
6. Promoting Equitable and Experience-Based Financial Education	To address gaps in resilience based on gender, career stage, and income levels.	- Gender-responsive financial empowerment - Experience-based coaching - Inclusive access to learning resources	- Development of mentoring or peer-sharing models among freelancers - Case-based discussions featuring local contexts	Increased inclusivity and equitable financial knowledge across diverse freelancer demographics.

The effectiveness of the program can be measured through behavioral outcomes such as consistent savings contributions, successful budgeting exercises, improved tax knowledge, and increased resilience scores. Policy implications suggest that government agencies, financial institutions, and digital platforms should collaborate to provide financial education resources tailored to freelancers. Cooperative organizations may also serve as financial education and support hubs for gig workers.

Overall, the findings highlight the importance of targeted financial literacy programs and supportive policy interventions to enhance freelancers' financial security in the digital economy.



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4. Research Implications

The findings of the study revealed several financial management challenges faced by freelancers, particularly in terms of savings discipline, financial planning, and tax compliance awareness. The results suggest that freelancers often experience income volatility and financial uncertainty, which may affect their ability to maintain stable financial practices. Moreover, the study highlights the need for improved financial literacy and accessible support systems that can help freelancers develop more sustainable financial behaviors. Based on these results and the conclusions drawn from the analysis, several recommendations are proposed to strengthen financial management practices among freelancers, enhance financial literacy programs, and encourage institutional support from policymakers and financial institutions.

CONCLUSION

The study concluded that the financial behaviors of online freelancers are largely shaped by income variability and digital platform taxation. Although freelancers demonstrated adaptive saving and liquidity practices, these strategies were mainly reactive and focused on short-term financial survival rather than long-term financial security.

Financial management practices were generally positive but uneven across respondents. Good saving and liquidity behaviors coexisted with moderate challenges in managing income volatility and gaps in tax knowledge. These findings suggest that financial discipline among freelancers is influenced by external economic pressures as well as individual financial literacy levels.

Financial resilience was found to be moderate. Freelancers generally showed confidence in recovering from financial setbacks but were less prepared for large-scale financial shocks such as medical emergencies or prolonged income disruptions. Access to immediately available funds was identified as an important factor in supporting financial stability. Digital platform taxation influenced both financial stress and financial awareness. While taxation reduced disposable income, it also encouraged freelancers to improve recordkeeping and financial monitoring practices. Overall, resilience among freelancers was shown to be a dynamic outcome shaped by behavioral, economic, and structural factors. The study also supported the applicability of the Buffer Stock Saving Theory in explaining freelancer financial behavior. Freelancers demonstrated precautionary saving patterns by maintaining short-term financial buffers, using easily accessible savings platforms, and adjusting saving habits based on income conditions and taxation pressures.

Recommendations

Freelancers are encouraged to build structured savings and maintain accessible emergency funds while considering post-tax income and platform fees. Adaptive budgeting techniques that account for irregular earnings remain essential, and the use of digital tools and e-wallets to monitor income, expenses, and liquidity in real time can help freelancers respond more effectively to financial shocks. Automated or scheduled savings mechanisms within mobile banking or e-wallet platforms are also recommended to reduce reliance on reactive saving behaviors and informal borrowing. Participation in peer networks or cooperatives, such as the Filipino Online Professional Service Cooperative (FOPSCO), may further support financial security through mentoring, shared resources, and cooperative-based savings programs.

Targeted interventions should also address gaps in financial management practices. Freelancers with low buffer stock savings should receive training on short-term and post-tax savings planning, while those experiencing difficulty managing income volatility should be supported through scenario-based budgeting and financial planning strategies. Similarly, freelancers with limited liquid asset accessibility should be guided in developing emergency funds, improving liquidity management, and diversifying income sources.



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Educators and training providers are encouraged to develop financial literacy programs tailored to freelancers' needs, including modules on post-tax budgeting, tax compliance, recordkeeping, resilience-building strategies, and adaptive financial planning. These programs should also consider differences in gender, career stage, and income level.

Policymakers and regulatory agencies should provide clearer and more accessible taxation guidance for freelancers, supported by partnerships with the Bureau of Internal Revenue and the Bangko Sentral ng Pilipinas, as well as digital platforms that facilitate freelance work. Community-based initiatives and cooperative frameworks may further strengthen financial literacy and resilience among freelancers.

Future researchers should examine the long-term effects of taxation and financial literacy interventions on freelancers' resilience, including cross-regional differences in financial behavior and the behavioral and psychological factors influencing financial decision-making. It is also recommended that future studies distinguish between taxation awareness and taxation literacy as separate variables and treat them as independent constructs in empirical analysis. While awareness refers to knowledge of the existence and general impact of digital platform taxation, literacy involves the ability to compute taxes, identify deductible expenses, and comply with filing requirements. Treating these as distinct variables may provide more precise insights into freelancers' financial behavior and their capacity to adapt to taxation policies. Additionally, future researchers may explore gender-based differences in financial resilience by examining the role of freelance specialization, income levels, and household responsibilities. Studies may also track changes in freelancers' financial behaviors over time, expand samples across regions and digital platforms, and incorporate objective financial records to complement self-reported data and address limitations in geographic scope, cross-sectional design, and data subjectivity.

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